

Inflation Control Strategy for India, 2025-2026

Based on the Monetary Policy Framework Agreement (MPFA) 2021-2026

Executive Summary:

India's monetary policy is governed by the Monetary Policy Framework Agreement (MPFA) 2021-2026, jointly notified by the Government of India and the Reserve Bank of India (RBI). The MPFA mandates an inflation target of 4% $\pm$ 2%, making price stability the central objective of monetary policy.

As India approaches FY 2025-26, inflation remains influenced by food supply shocks, global commodity volatility, and domestic demand recovery. A credible inflation-control strategy must combine monetary tightening where needed, fiscal discipline, and structural reforms in food and energy systems.

This brief proposes a three-pillar policy strategy for keeping inflation within target while supporting growth.

Background and Context:

1. The MPFA Mandate (2021-2026)

The MPFA Notification (1 April 2021) sets:

- a. Target: 4% Consumer Price Index (CPI)
- b. Tolerance Band: 2%-6%
- c. Failure Clause: If average inflation stays outside the band for 3 consecutive quarters, RBI must provide an explanation and a corrective plan to the Government.

2. Current Inflation Dynamics (2023-2025)

- a. Headline CPI remained above 6% several times due to food inflation spikes.
- b. Core inflation has softened due to slower demand.
- c. Food Inflation is driven by vegetables, cereals, and pulses supply constraints.
- d. Fuel inflation was subdued due to excise adjustments and stable global prices.

3. Key Risks for 2025-2026

- a. Climate volatility- food prices spikes.
- b. Geopolitical disruptions- crude, fertilizer prices
- c. El Nino/La Niña Cycles- agricultural supply shocks
- d. Fiscal expansion in 2024-25- demand pressures

Problem Diagnosis

India's inflation problem is structural rather than purely demand-driven.

1. Supply-side rigidity:

- a. Agricultural output is highly sensitive to rainfall
- b. Limited cold storage
- c. Slow movement in agricultural market reforms

2. Food-heavy CPI basket:

- a. India's CPI is 46% food- makes inflation highly volatile and hard to anchor

3. Weak monetary transmission in rural credit markets

4. External vulnerability:

- a. High crude oil import dependence.
- b. High fertilizer import dependence.

Policy options

Option A: Aggressive Monetary Tightening

- > Pros: Directly lowers demand; signals commitment to target
- > Cons: Hurts growth, investment; weak transmission in agriculture/ rural credit

Option B: Food & Agricultural Supply Stabilization

- > Pros: Tackles the root cause of inflation
- > Cons: Medium-term impact; requires coordination across ministries

Option C: Fiscal-Monetary Coordination

- > Pros: Ensures that fiscal deficits do not undermine monetary tightening
- > Cons: Requires political alignment, may slow expenditure plans

Recommended Strategy (3-Pillar Approach)

Pillar 1: Strengthen Monetary Policy Transmission

- Maintain a real policy rate slightly positive to contain demand
- Improve transmission via:
 1. Linking more loans to external benchmarks
 2. Reducing Small Savings Schemes to prevent distortions.

- Enhance RBI's forward guidance to anchor expectations.

Pillar 2: Food & Commodity Stabilization Framework

- Short-term (0-6 months)
 1. Expand buffer stocks for cereals, onions, and pulses
 2. Pre-emptive import planning for pulses, edible oil
 3. Strengthened MSP procurement coordination
- Medium-term (6-24 months)
 1. Invest in:
 - 1.1 Cold chains
 - 1.2 storage
 - 1.3 irrigation systems
 2. Promote contract farming for price stability
 3. Accelerate the adoption of the digital mandi platform

Pillar 3: Fiscal-Monetary Alignment

- Keep fiscal deficit within glide path (<4.5 % by FY26)
- Improve capital expenditure quality
- Avoid populist price interventions that distort markets
- Use targeted cash transfers instead of blanket subsidies

Expected Outcomes

If implemented, this strategy will:

- Keep inflation within 4% $\pm$ 1% band through better supply stability
- Strengthen inflation expectations anchoring- improve investor confidence
- Reduce risk of MPFA "failure clause" violation
- Improve India's macro stability and global credit outlook

Implementation roadmap:

Timeline	Key Action
0-3 months	Maintain a tight monetary stance; enhance communication
3-6 months	Build food buffer stocks; initiate imports where needed
6-12 months	Begin structural reforms in the agricultural markets
12-24 months	Expand storage, cold chains, and irrigation; strengthen fiscal alignment

Conclusion

The MPFA 2021-2026 provides a credible anchor for price stability.

However, to successfully meet the 2025-26 inflation challenge, India must move beyond interest-rate adjustments and focus on food system efficiency, supply resilience ,and macro-fiscal discipline

A coordinated three-pillar strategy offers the best path for stable inflation and sustainable growth.